

PSI Exam Prep: Land Use Controls

STUDY SHEET

Top Takeaways

Five percent of your licensing exam questions will relate to land use controls and regulations.

A. Government Rights in Land

1. Government Rights to Impose Property Taxes and Special Assessments

- **Taxation** : A governmental **police power** that permits it to meet the need for public works by funding through a stable source of income that shares the burden among many citizens.
 - **Ad valorem taxes** are based on the real estate's value. General property taxes may pay for items such as schools, police, fire, etc.
 - **Special assessment taxes** are imposed only on properties that benefit from the improvement, such as a tax to install a sewer line or city water line on one specific street. Other examples may include paved streets, curbs, sidewalks, or street lighting.
 - Property tax liens take priority over all other property liens in most states.

2. Government Rights to Acquire Land Through Eminent Domain, Condemnation, and Escheat

- **Eminent domain** : The government's power to take private land for public use. For example, eminent domain could be used to take private property needed for a planned freeway project.
 - The government must fairly compensate private owners for property taken through eminent domain.
- **Taking** : Governmental appropriation of property; a taking may or may not use the power of eminent domain.
- **Condemnation action** : The process of taking title and physical possession of private property using the government's power of eminent domain; the property owner is paid just compensation for the value of the property.
- **Inverse condemnation** : The government takes private property but fails to compensate the owner; property owners are forced to file suit to obtain compensation. The taking may be physical through occupation, or regulatory, where government regulations cause the property to lose economic value.
- **Escheat** : The state's power to take the property of a decedent who dies without a will, heirs, or creditors.
 - When the state claims property through escheat, it can dispose of the property to benefit the public.

B. Government Controls on Land Use

1. Government Controls

- **Police power** : The government's authority, at any level, to do what it can to ensure the health, safety, and welfare of its citizens. Police power includes licensing, public services, zoning, and building codes.

2. Building Codes, Zoning Plans, and Master Plans

- **Permits** : The government uses permits to police how a plot of land can be used (using a zoning permit) or the rules and regulations that must be followed when building new buildings (using a building permit).
- **Building codes** : Rules that specify the standards to which certain building projects must comply. These codes help ensure safe, properly functioning buildings for their occupants.
- Building codes address the method of construction, materials used, and the building's safety and sanitary standards.
- State building codes provide bare minimum standards for all residential and commercial buildings in the state, while local codes provide additional regulation.
- If there is no state or local code, builders must comply with the federal building code.
- Building permits are issued locally as a signal to a builder or contractor that building codes must be adhered to. During or after completion, building inspectors review work to ensure building code compliance.
- Most municipalities permit existing construction to be sold and occupied without meeting current building codes.
- **Zoning ordinances** : Local laws or regulations that implement the comprehensive plan by regulating zoning and land use and are usually enforced at the city level.
- Zoning ordinances regulate things like lot size, building height, and permitted uses within each zoning classification on a zoning map. They may not violate the federal Fair Housing Act.
- Zoning compliance is often monitored by requiring developers to make application for permits, which are only granted if they're not at odds with zoning ordinances.
- Zoning classifications:
 - Residential
 - Commercial
 - Combination/mixed use
 - Industrial

- Agricultural
 - Open space
 - Parkland
 - Recreation area
- Other permitted uses for structures zoned residential may include a group home, a home occupation, or an accessory use.
 - Zoning should adhere to the area's master plan.
 - **Incentive zoning** allows otherwise prohibited development in return for the developer providing a community benefit.
 - **Bulk zoning** regulates the density of a given area by requiring certain building height limitations, lot width, setback requirements, etc.
 - Bulk zoning applies to both residential and commercial zoning.
 - **Aesthetic zoning** is a way to ensure the visual and architectural consistency of an area.
 - **Downzoning** is the process of assigning a lower-density use zone to an area previously allowing a higher density. Density zoning refers to a number of things per unit, such as houses per acre.
 - **Spot zoning** rezones a specific property for use within another zoning area.
 - Zoning actions may include:
 - **Nonconforming use** : Deviates from current zoning but is grandfathered in (such as a home built years ago in an area that's now commercially zoned). Buyers should never assume a nonconforming use can continue after the transfer of ownership or the destruction of improvements.
 - **Moratorium** : Temporarily halts new property development.
 - **Special use permit** (aka **conditional use permit**): Allows a use that's not normally permitted but is considered an "allowable" use within that zoning, such as a church within a residentially zoned area.
 - **Variance** (aka **use variance**): Permitted deviation in the zoning ordinance requirements; typically granted when the zoning has created a hardship or burden on the property owner. Both special use permits and variances require a public hearing before they're granted.
 - Prospective buyers should be aware of zoning ordinances and any potential challenges they may present for desired uses (for example, running a business from a home or making living quarters in an area that's zoned as industrial).
 - Many localities have a **zoning appeals board** , which oversees challenges to zoning actions.
 - The **planning board** ensures that community growth is controlled and orderly; the board develops the master plan (also known as comprehensive plan), which includes a budget. In a city, this is known as urban planning.
 - Planners often account for topography (the physical and natural features of an area).
 - **Subdivision** : Land that's divided into lots for development.
 - **Plat map** : A map of a subdivision that represents a tract of land, showing the boundaries and location of individual properties, streets, easements, and other pertinent information. A developer submits the plat map to a planning board or zoning commission.
 - Meetings held by planning and zoning boards must be open to the public because of sunshine laws.
 - At the federal level, the **Sunshine Act** is part of the **Freedom of Information Act (FOIA)** . Each state usually has its own version of FOIA or a sunshine law.

3. Regulation of Special Land Types

- **Wetlands** are areas that are saturated by water in an amount sufficient to support vegetation that grows in the saturated soil. Many states have wetlands regulations, and various federal government agencies share responsibility for protecting U. S. wetlands.
 - The presence of a wetlands area on a property may impact property value and should be considered in the property appraisal.
 - Licensees should be familiar with the concept of development limitations on wetlands so they can properly advise clients.
 - The **Clean Water Act** provides guidelines for waters, including wetlands.
 - Only certain structures can be built on wetlands.
- **Flood zones** (aka **floodplains**) are an additional environmental concern for homeowners and buyers. Floodplains are low-lying areas of property that are susceptible to flooding because of their proximity to a water source.
 - Flood zones may be either base (100-year floodplain or 1% chance of a flood in a specific area in a given year) or moderate (500-year floodplain or a .2% chance of flooding in a specific area in a given year).
 - Lenders that fall under federal regulations must require borrowers who live in **special flood hazard areas (SFHAs)** to obtain flood insurance as a condition of obtaining their mortgages.
 - Traditional homeowners insurance policies don't cover flooding. Homeowners must purchase a separate policy or bundle flood insurance with their homeowner's policy. The **National Flood Insurance Program (NFIP)** helps homeowners in flood zones obtain affordable flood insurance.
 - The **Federal Emergency Management Agency (FEMA)** provides a search service that homeowners can use to determine if their property lies in a flood zone.
- **Lands contaminated with hazardous waste** : Special purpose landfills contain hazardous waste, such as radioactive materials from nuclear power plants and toxic chemicals.
 - These sites are usually located in remote areas away from human contact and are subject to strict regulation to prevent the escape of toxic substances.

- Particularly toxic material is often placed in sealed containers and buried far underground in "tombs" that are designed to remain impermeable for thousands of years.
- **Brownfields** : Abandoned commercial or industrial sites suspected to contain toxic waste.
- The **Small Business Liability Relief and Brownfields Revitalization Act** encourages the clean-up and development of brownfields by providing funds for assessment and clean-up efforts and protects buyers or developers from liability if the site were contaminated prior to ownership.
- **Protected habitats** : Laws seeking to conserve, protect, or restore habitats aim to prevent the extinction of animals that live in those habitats or to protect the natural habitat itself from further destruction.
 - While habitat loss and destruction can occur due to natural causes, human action contributes to the destruction.
 - Local, state, and federal actions seek to prevent further loss of habitats (and the beings that live in them) and to reverse destruction that has already taken place.
 - The **Endangered Species Act** seeks to protect species and their habitats and is administered by the U.S. Fish and Wildlife Service and the National Marine Fisheries Service.
 - Public and private lands may be protected by law, but private lands can also have **conservation easements** applied to specific areas. Protected lands and those under conservation easements may restrict development and prevent certain uses that may be destructive.
 - A conservation easement runs with the land, is recorded in local land records, and becomes part of the chain of title for the property.
- **Historical landmarks** : Many localities have enacted land use regulations to protect the historic character of the area, either due to architectural or historic landmark significance.
 - Some municipalities set up historic preservation commissions whose role is to identify and help preserve historic landmarks.
 - In contrast to other zoning ordinances, landmark preservation ordinances are designed to protect buildings rather than the use of the land. Owners of some designated buildings may be prevented from demolishing or drastically changing the building's exterior, or even interior.
 - Landmark and historic preservation commissions accomplish their objectives by recommending ordinances to preserve certain historic neighborhoods, landmarks, buildings, and sites. They also review and approve applications for changes to existing landmarks that involve construction, demolition, or relocation.

C. Private Controls

1. Deed Conditions or Restrictions on Property Use

- **Private land use controls** include easements, liens, deed restrictions, and subdivision regulations or HOA rules.
 - Private land use controls place restrictions on the appearance or use of land by individuals or private entities, as opposed to those placed by a government body.
 - If a property faces both a public and private restriction regarding the same issue, the most restrictive one takes precedence.
- Individual owners or grantors of a deed may place deed conditions that apply to that specific property being conveyed. Deed restrictions may run with the land forever or may have a time limit.
- Deed restrictions may not violate any laws, including fair housing laws. Such a restriction would be illegal and unenforceable.

2. Subdivision Covenants, Conditions, and Restrictions (CC&Rs) on Property Use

- Subdivision developers may place **covenants, conditions, and restrictions (CC&Rs)** (aka **restrictive covenants**) on all properties within a development. CC&Rs are rules established by developers or homeowners associations that govern properties and owners in the community covered by the CC&Rs.
- Restrictions imposed by CC&Rs may take the form of covenants in the property deed or by a separate document that's referenced in the deed and recorded.
- The purpose of CC&Rs is to maintain specific subdivision standards; e.g., architectural, design, or setback (distance from property lines) requirements.
- CC&Rs usually expire within a certain number of years and are enforced by the homeowners association.

3. Condominium and Owners Associations Regulations or Bylaws on Property Use

- **Homeowners association (HOA)**, **condominium association**, and **owners association** regulations are typically set up as a covenant (an agreement between the homeowner and the association).
 - Association regulations subject property owners to certain rights, responsibilities, and obligations, including the obligation to pay the HOA fee.
 - Associations may regulate aesthetic choices for structures (such as paint or shingle color) or for landscaping (such as the type and number of trees and shrubs that owners may plant).
 - Associations typically have the authority to levy fines against residents who don't comply with the regulations.
 - Any member of the association may pursue enforcement in a civil court of law if a resident isn't complying with regulations.